GradientCIO

GIPS MANAGER DILIGENCE

Northfield Example Capital — GIPS Manager Diligence

Global Value Equity Composite · data through 2025-12-31 · synthetic example

SUBJECT
Northfield Example Capital

DOCUMENT REVIEWED
GIPS Composite Report

DATA THROUGH
2025-12-31

VERIFIER
Example Verifier LLP

PREPARED FOR
Gradient

REVIEW DATE
2026-10-04

OVERALL ASSESSMENT
Satisfactory with follow-ups

REQUIREMENTS EVIDENCED
7 of 8 · Partial

01 Summary

OVERALL ASSESSMENT

Satisfactory with follow-ups

REQUIREMENTS EVIDENCED · 7/8

BOTTOM LINE

The firm-wide claim is correctly worded and verified through 2024 S1 S2. The Performance Integrity Memo records two Medium follow-ups: reconcile composite assets and complete the performance-fee disclosure S1 S3.

MET	PARTIALLY MET	NOT MET	NOT FOUND
4	2	1	1
Claim, assets and benchmark evidenced	Verification and fee disclosure	Composite assets conflict	Composite descriptions list

EVIDENCE COVERAGE

GIPS Composite Report	**Available**	Global Value Equity through 2025-12-31 S1
Verification letter	**Available**	Firm verification through 2024-12-31 S2
DDQ section 7	**Degraded**	Composite assets conflict with the report S3

SYNTHETIC EXAMPLE for layout testing. Basis: GIPS Composite Report (Global Value Equity, data through 2025-12-31), verification letter dated 2026-03-15 and DDQ section 7. Diligence review against the 2020 GIPS standards; not a verification or legal opinion.

- **Overall assessment:** Satisfactory with follow-ups. The compliance claim is supported, but composite-scale and fee evidence need reconciliation S1 S2 S3.

Key judgment — claim wording is supported

The firm-wide compliance statement follows the required wording in the reviewed report S1. This supports the presentation of the claim, but wording alone does not establish that every firm process, composite record and disclosure operated consistently during the covered periods.

Key judgment — latest year is outside verification

Verification covers 2015–2024 while the composite report extends through 2025 S1, S2. The latest reported year therefore sits outside the stated verification period, so readers should not infer verifier coverage for 2025 from the earlier opinion.

Key judgment — composite scale conflicts

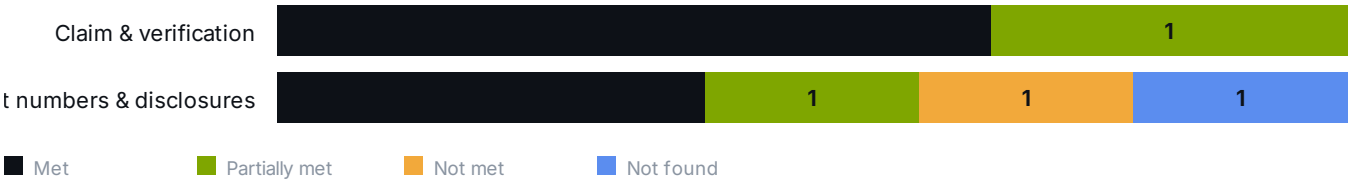
The DDQ reports $2.4B of composite assets versus $2.1B in the year-end report S1, S3. The $0.3B difference remains unresolved because the records do not provide aligned effective dates or a reconciliation of flows and valuation changes.

Key judgment — fee basis is incomplete

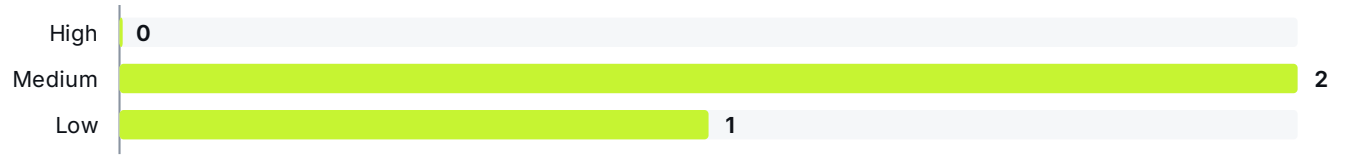
The report describes management fees but does not identify the stated performance fee S1. This omission limits interpretation of net returns because the reviewed schedule does not establish whether that additional fee applies or how it is reflected.

02 Findings

CHECKLIST STATUS BY AREA



FINDINGS BY SEVERITY



MEDIUM **Composite assets conflict**
The DDQ reports $2.4B while the GIPS Report reports $2.1B S1, S3.

MEDIUM **Fee schedule incomplete**
The reviewed fee disclosure omits the performance fee S1.

LOW **Verification period gap**
Verification evidence ends at 2024-12-31 S2.

Two Medium findings limit reliance on the supplied record: composite assets conflict across the DDQ and GIPS Report, and the fee schedule does not identify the performance fee. Verification ends one year before the latest report period, a Low finding S1 S2 S3.

Analysis — composite scale is unresolved

Observation: Composite assets differ by $0.3B across two records S1, S3. **Why it matters:** Scale changes the context for the presented track record. **Uncertainty:** Effective dates and reconciliation records were not supplied. **What would change the view:** Follow-up request 1 producing a dated reconciliation.

Analysis — net-return fee basis is incomplete

Observation: One stated performance fee is absent from the schedule S1. **Why it matters:** Net-return interpretation depends on a complete fee basis. **Uncertainty:** The supplied report may omit a separately approved schedule. **What would change the view:** Follow-up request 2 producing approved fee records.

03 Performance integrity memo

TRACK-RECORD RELIANCE BY EVIDENCE AREA

	SUPPORTED	NEEDS FOLLOW-UP
COMPLIANCE CLAIM	2	0
VERIFICATION COVERAGE	1	1
COMPOSITE SCALE	1	1

	SUPPORTED	NEEDS FOLLOW-UP
FEE BASIS	1	1

Counts reflect the fictional reviewed evidence S1 S2 S3.

Performance Integrity & GIPS

Overall assessment: Satisfactory with follow-ups

GIPS status: Northfield claims compliance with the GIPS standards. Verified by Example Verifier LLP for 2015-01-01 to 2024-12-31. No performance examination of the composite. Report reviewed: Global Value Equity Composite, data through 2025-12-31.

Key findings

- [Medium] DDQ composite assets differ from the GIPS Report by $0.3B (1.A.7)
- [Medium] Fee schedule omits the performance fee (4.C.11)
- [Low] Verification gap of 12 months to the latest year-end

Track record notes: 11 years of annual returns, net of actual fees; global value equity benchmark; 14 portfolios; no carve-outs or portability.

Follow-ups before approval

1. Reconcile composite assets between the DDQ and the GIPS Report.
2. Provide the full fee schedule including the performance fee.

04 Follow-up requests

01 **Provide a dated reconciliation of the $2.4B DDQ and $2.1B report composite assets.**
Closes the 1.A.7 inconsistency S1 S3.

02 **Provide the complete fee schedule, including the performance fee.**
Closes the 4.C.11 disclosure gap S1.

03 **Provide the current list of composite descriptions.**
Closes the 4.C.15 evidence request S1.

1. Provide a dated composite-asset reconciliation between DDQ 7.3 and the GIPS Report (1.A.7) S1 S3.
2. Provide the full fee schedule including the performance fee (4.C.11) S1.
3. Provide the current list of composite descriptions (4.C.15) S1.

A Appendix — Findings checklist

Claim & verification

AREA	REQUIREMENT	PROVISION	STATUS	EVIDENCE	FINDING / FOLLOW-UP
Claim	Compliance statement wording	4.C.1	Met	GIPS Report p.2	—
Claim	Firm-wide claim	1.A.1	Met	GIPS Report p.2	—
Verification	Verification covers recent periods	Verification	Partially Met	Letter 2026-03-15	2025 not yet verified

Report numbers & disclosures

AREA	REQUIREMENT	PROVISION	STATUS	EVIDENCE	FINDING / FOLLOW-UP
Numbers	Composite assets each year	4.A.1	Met	GIPS Report p.1	—
Consistency	DDQ agrees with GIPS Report	1.A.7	Not Met	DDQ 7.3 vs Report p.1	$2.4B vs $2.1B
Disclosures	Fee schedule	4.C.11	Partially Met	GIPS Report p.3	Performance fee missing
Disclosures	Benchmark description	4.C.32	Met	GIPS Report p.3	—
Policies	List of composite descriptions available	4.C.15	Not Found	—	Request

B Appendix — Sources

TAG	SOURCE	DETAIL	AS OF	VALIDATION
S1	GIPS Composite Report	Global Value Equity, pp.1–3	2025-12-31	Document
S2	Verification letter	Example Verifier LLP	2026-03-15	Document
S3	DDQ	Section 7	2026-06-30	Document

C Appendix — Method & disclaimer

Ratings follow the High/Medium/Low scale and overall-assessment rules in the Gradient GIPS output format. This is a diligence review against the published 2020 GIPS standards, not a verification, compliance certification or legal opinion.